



06

TUTORIAL SIX

THE STATEMENT OF CASH FLOWS

Mini Case: Armadillo Surfing Design (ASD)

Adapted from "An Introduction to Accounting: Accountability in Organisations and Society", 1st edition, Cengage

THE CASE: THE CASH FLOW STATEMENTS

In August 20X8, ASD issued its annual report for the year ended 30 June 20X8. The Statement of Cash Flows is below.

Armadillo Surf Designs Ltd	
Statement of cash flows for the year ended 30 June 20X8	
	\$000
Cash flows from operating activities	
Receipts from customers	2,195
Payments to suppliers of goods and services, inclusive of labour	(761)
Interest paid	(12)
Income taxes paid	
Net cash provided from operating activities (1)	<u>1,422</u>
Cash flows from investing activities	
Payment for property, plant and equipment	<u>(2,650)</u>
Cash flows from financing activities	
Proceeds from borrowings	500
Net decrease in cash held	(728)
Cash at the beginning of the financial year	<u>4,588</u>
Cash at the end of the financial year	<u>3,860</u>

ACTIVITIES

Discuss the following:

- The statement of cash flows is similar to the statement of financial performance in what basic respect? How is it different?
- Examine the ASD's statement of cash flows above and discuss whether the business is in

Solution:

Multiple Choice Questions

1. Which of the following are not operating cash flows?

- A) Income tax paid
- B) Interest received
- C) Payments to suppliers
- D) Dividends paid to shareholders

2. What effect does an increase in the balance of Prepaid Insurance has on cash flow?

- A) An inflow of operating cash flows
- B) An outflow of operating cash flows
- C) An inflow of investing cash flows
- D) An outflow of financing cash flows

3. Which of the following is true?

- A) Having a large amount of excess cash for many periods is always good news
- B) Having an overall net inflow of cash is always good news
- C) An overall net inflow of cash indicates that the ending balance of cash account is lower than the opening balance for the period
- D) None of the above



Practice Questions

Question 1

Jeff and Pam are a small retailer, the business has not been doing well, and in the last period of 2021, there was not enough cash from the operation to pay off income tax liabilities. The following information is available.

	2020	2021	Difference +/(-)
Net Income	\$37,400	\$61,240	\$23,840
Net Sales	\$284,550	\$464,270	\$179,720
COGS	\$113,880	\$162,490	\$48,610
Inventory	\$7,820	\$31,860	\$24,040
Accounts Receivable	\$24,680	\$63,700	\$39,020
Accounts Payable	\$42,700	\$17,450	(\$25,250)

REQUIRED:

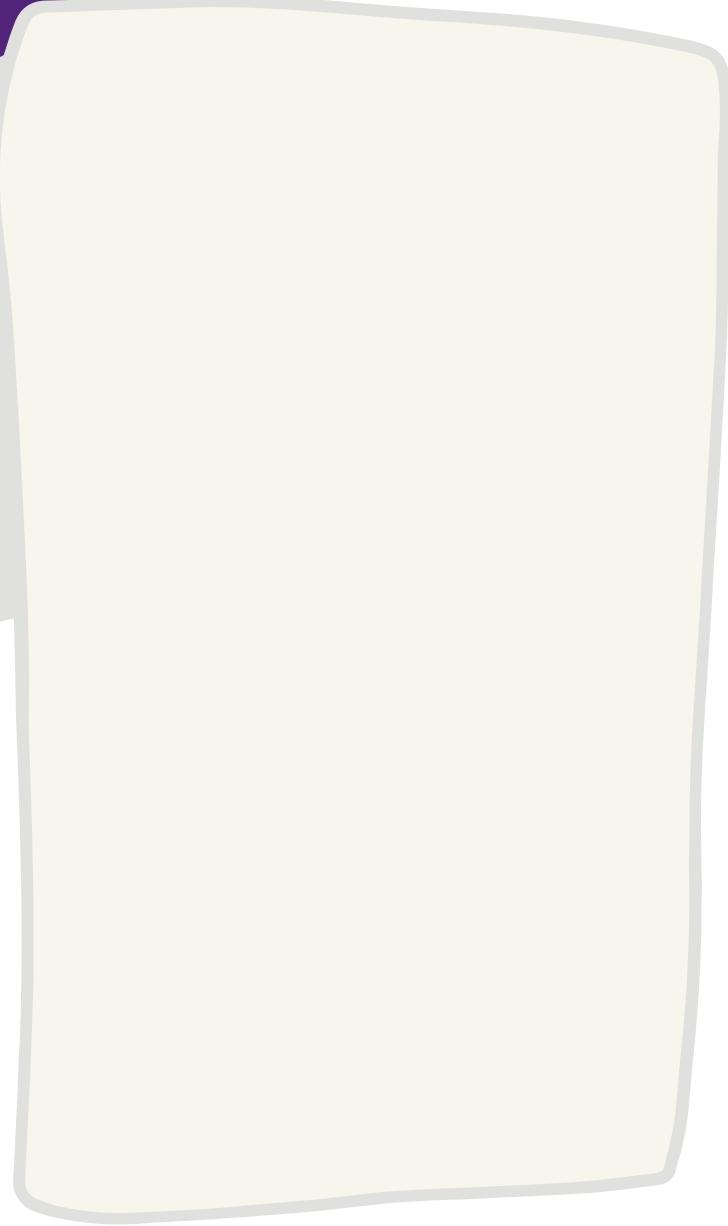
Discuss possible reasons why the business struggled to generate operation cash inflows.

Solution:

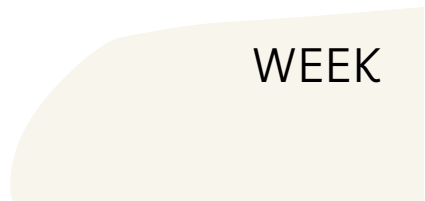


WEEKLY NOTES

TO DO

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WEEK

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NOTES

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NEXT WEEK

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Notes

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